

NVIDIA Corporation

NVDA NASDAQ

Buy	\$226.02 ▼ 1.88%	12M Price Target \$260.00	52-Week Range \$164.27 – \$236.54	Market Cap \$5.46T
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NVDA: Profit-Taking After Run, But AI Story Intact

WHAT HAPPENED

- NVDA dipped 1.88% to \$226 — but zoom out: the stock ran from \$217 to \$230 in four days, so this is just profit-taking, not a thesis change. The real overnight signal is rising bond yields spooking growth stocks (higher yields = future profits worth less today).
- Director Mark Stevens dumped \$200M+ worth of shares last week. That sounds scary but he's a longtime board member who's been trimming for years — it's diversification, not a "get me out" moment.

WHY IT MATTERS

Here's what's really going on: the options market is flashing short-term caution — massive put buying at \$225-230 strikes tells me big traders are hedging for a pullback into next week's Oracle earnings (Tuesday). Oracle's cloud numbers are basically a read-through for NVDA demand — if ORCL says AI capex is still ripping, NVDA rips with it. The bigger picture: NVDA sits at 85% of its 52-week range with a \$5.46T market cap, meaning expectations are HIGH and any disappointment gets punished. But utilities and energy leading the tape (+3% over 5 days) is actually bullish for NVDA long-term — that's the "AI needs power" trade, and if the market believes electricity demand is exploding, it's implicitly betting the data center buildout continues.

POLICY & POLITICAL WATCH

The big overhang is the ongoing China export control saga — the Trump administration has been negotiating a framework where NVDA can sell H20 chips to China with a 15% revenue kickback to the US government (unprecedented arrangement announced earlier this year). If that holds or expands, it's a modest positive; if Congress blocks it or China retaliates by favoring Huawei, that's a real headwind since China was ~13% of data center revenue historically. Also watch the CHIPS Act 2.0 discussions and any executive orders on federal AI procurement — every dollar the government commits to sovereign AI infrastructure basically flows to NVDA's GPUs.

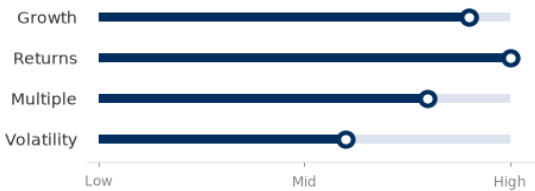
IS IT EXPENSIVE?

At ~38x forward earnings, investors are paying \$38 for every \$1 NVDA is expected to earn next year — that's expensive for the S&P (which trades around 22x) but actually reasonable for a company growing revenue 50%+ with 75% gross margins. The key question isn't "is it expensive" but "is the growth real" — if data center revenue keeps compounding, today's price looks cheap in two years. The risk is multiple compression: even if earnings grow, if the market decides AI is overhyped, that 38x could shrink to 25x fast.

Key Data

Price (USD)	\$226.02
12M Price Target	\$260.00
Upside / (Downside)	+15.0%
Market Cap	\$5.46T
FY2027E Revenue	\$235M
FY2028E Revenue	\$295M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.40
Fwd P/E	38.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$245.00	\$232.00	\$210.00
6 Months	\$275.00	\$250.00	\$195.00
1 Year	\$310.00	\$260.00	\$180.00
2 Years	\$380.00	\$300.00	\$165.00
5 Years	\$550.00	\$400.00	\$150.00
10 Years	\$900.00	\$600.00	\$140.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+3% weekly) and Energy — the market is finally waking up to the fact that AI data centers need MASSIVE amounts of power. Nuclear names especially (NuScale, Vistra) are getting bid because the White House has been vocal about restarting nuclear for AI.

COOLING OFF: Consumer Discretionary (-1.89% weekly) — rising bond yields are squeezing the consumer, and retail is losing steam heading into a tough holiday setup.

ROTATION WATCH: Money is rotating into "AI infrastructure adjacent" plays — power, cooling, grid. That's actually a confirming signal for NVDA, not a competing one.

RELATED PLAY: The picks-and-shovels-of-the-picks-and-shovels trade: nuclear utilities (VST, CEG), power equipment (ETN, GEV), and data center REITs (EQIX, DLR) all benefit from the same AI capex wave without the semi cyclicality.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra Energy): Nuclear + gas power play riding the AI data center power demand story — up because the market finally connected the dots.
- GEV (GE Vernova): Grid and gas turbine maker — every new data center needs their equipment, order book is exploding.

NVDA CONTEXT: NVDA is leading the semis but the "second derivative" plays (power, grid, cooling) are outperforming on a percentage basis right now — that's normal late-cycle behavior when the obvious trade gets crowded and money hunts for the next leg. NVDA isn't done, but the easy money in it has been made; from here you need earnings to keep beating.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm pounding the table on the multi-year story but cautious on the next 30 days given the options flow warning.

POSITION SIZE: 5-8% for most investors. It's a mega-cap so it's not going to zero, but concentration risk is real when one stock is 7% of the S&P 500.

ENTRY POINTS: Add on pullbacks to \$215-220. If we get a China headline scare and it drops to \$195-200, back up the truck.

TIME HORIZON: 12-24 months minimum. The catalyst I'm waiting for: Blackwell Ultra ramp and next-gen Rubin architecture reveal — both should extend the growth runway.

WHEN TO BAIL: If data center revenue growth drops below 20% year-over-year, or if a major hyperscaler publicly announces a capex cut. Also out if China export controls fully ban Blackwell — that's a thesis-changer.

HEDGING: Simplest hedge: buy put options 10% below current price expiring in 3 months — costs about 2% of your position but caps your downside if the market cracks. Or just trim 20% of your position on any move above \$240 and buy it back on pullbacks.